7 Laws Pro Traders Live By.

These laws are **distilled from how professional traders actually work** - risk managers, quants (traders who let math and code make the decisions), day and swing traders, trading psychologists, prop traders (traders who trade a firm's money, not their own), and portfolio managers. Nobody was interviewed for this. It is the shared pattern underneath very different jobs: **the trade itself is the smallest part of the work.**

Two plain words first. A **playbook** means a short, written list of trade setups you are allowed to take - a **setup** is a specific pattern with rules for when to get in and when to get out, decided in advance. If a trade is not in the playbook, it does not happen.

Risk here does not mean "danger" in general. It means the exact amount of money you have decided you can lose on one trade, and on one day, before you stop.

1 Risk is decided before the day, never during it.

Before the market opens, a pro has already set the most they can lose on a single trade and the most they can lose that day. When the daily limit is hit, they stop - no debate, no "one more to win it back." Deciding in the moment fails because in the moment you are emotional, and emotion always argues for a bigger bet.

IN PRACTICE Write two numbers down before the open: max loss per trade, max loss per day. The second number ends your day.

2 They run a playbook, not a mood.

A pro trades only setups they have written down and tested - what the pattern looks like, where they enter, where they exit if they are wrong. A trade taken because the chart "feels like it is about to move" is not a strategy. It is a guess wearing a strategy's clothes, and guesses cannot be improved because nothing was ever written down.

IN PRACTICE If you cannot describe the setup in one sentence and point to where you exit when wrong, it is not in your playbook yet.

3 Preparation beats screen time.

The work happens before the open: checking what news is due, marking the price levels that matter, building a short watchlist (the handful of stocks being watched that day), and knowing the plan for each one. Staring at charts for eight hours hoping something appears is not work - it is how boredom turns into bad trades.

IN PRACTICE Thirty focused minutes of preparation beat a full day of watching and reacting.

4 Size moves with edge and damage.

An **edge** is a tested statistical advantage - a setup that, over many trades in a backtest (a test of the rules on old prices), made more than it lost. Pros size up - trade bigger - only when the edge is strong and proven. They size down when the setup is weaker, the market is messy, or they are already in a losing run. The other half is **damage**: how badly would this loss hurt the account? A loss you cannot recover from is too big at any edge.

IN PRACTICE Best setup, normal conditions: full planned size. Anything less certain: smaller - or no trade at all.

5 Win rate is vanity. Expectancy is sanity.

Win rate is just how often you win. **Expectancy** is what actually matters: what you make on your wins versus what you lose on your losses, weighed by how often each one happens. Win most of your trades and you can still lose money - if the few losses are bigger than all the wins. Here is our own receipt:

OUR BACKTEST - BULLISH ENGULFING ON SPY

64%	-5.5%	25
OF TRADES WON	TOTAL RETURN ANYWAY	TRADES, 2021-2026

A bullish engulfing pattern is a day where the price falls, then the next day rises so strongly it fully covers - engulfs - the day before. Our test of buying that pattern on SPY (a fund that tracks the 500 biggest US companies) won **64%** of its trades and **still returned -5.5%** (exactly -5.53%). Winning often felt great. It paid badly.

EXAMPLE - HYPOTHETICAL NUMBERS, NOT A RESULT

Say you risk **1 to make 5**: you put $100 at risk aiming to make $500. Win only 3 times out of 10 and the maths still works - 3 wins make $1,500, 7 losses cost $700, leaving **+$800 over 10 trades**. A low win rate with big wins can beat a high win rate with small ones. That is expectancy.

6 They review like scientists.

After the session, pros write down every trade: the setup, the size, the reason, the result, and what they were feeling. Then they look for patterns in their own behaviour - the same mistake on Fridays, losses that all came from one setup, wins given back by trading too long. A scientist changes one thing at a time and checks whether it helped. Guessing what went wrong changes nothing.

IN PRACTICE No journal, no evidence. No evidence, no improvement - just the same month on repeat.

7 Survival is the strategy.

Every other law exists to protect this one. A pro's first job is to still be trading next month, because an edge only pays out over many trades - and you cannot collect on trades you never get to take. The maths is brutal and simple: **lose 50% of your account and you need a 100% gain just to get back to even.** Deep losses are not just painful, they are mathematically hard to climb out of. So pros treat a blown-up account - losing so much you cannot trade properly any more - as the one unforgivable outcome. Bad days are normal. Ruin is not.

IN PRACTICE Before any trade, ask: "If this goes fully wrong, am I still in the game tomorrow?" If not, the size is wrong.

RULE OF THUMB - NOT A STATISTIC

> **"Most of a pro's energy goes to the system around the trade - the risk limits, the playbook, the preparation, the review. The trade itself is the last, smallest step."**

That is not a measured number, and nobody surveyed it. It is a rule of thumb - a useful way to aim your effort. Amateurs tend to do the exact inverse: almost all of their energy goes into the moment of buying and selling, and almost none into the system around it. The 7 laws are how you flip that.

PUT THE LAWS TO WORK THIS WEEK

- **Before your next session:** write down your max loss per trade and per day (Law 1), and the one or two setups you are allowed to take (Law 2).
- **After it:** journal every trade - setup, size, reason, result (Law 6) - and check the size matched the edge, not your mood (Law 4).
- **Always:** judge yourself on expectancy, not win rate (Law 5), and never risk a loss you cannot recover from (Law 7).

READ THIS BEFORE YOU BELIEVE IT

These 7 laws are **distilled working principles** drawn from how different kinds of professional traders operate - **not interviews, not a survey, and not guarantees**. Following them does not promise profits; traders who follow all seven still lose money, sometimes for long stretches. The one backtest cited here is **a single pattern (bullish engulfing) on a single asset (SPY) over 2021-2026, with only 25 trades** - a small sample where luck plays a real part. A different pattern, asset, or period could tell a very different story. The "risk 1 to make 5" walk-through is a **hypothetical example** built to explain expectancy, not a result anyone achieved. **Past results never predict future results.**

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